GOVERNMENT OF INDIA

Ministry of Food Processing Industries

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SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

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SHRI CHIRAG PASWAN

HONORABLE MINISTER,
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MESSAGE

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SHRI MUNINDRA KUMAR

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

The food processing sector serves as a vital bridge between agriculture and industry, creating value addition, reducing post-harvest losses, strengthening food security, generating employment, and enhancing farmers' incomes. As India aspires to become a global hub for food manufacturing and exports, the Ministry of Food Processing Industries continues to play a transformative role in promoting modern infrastructure, innovation, investment, and sustainable growth across the food value chain.

The Chamber of Commerce and Industries of India (CCI India) recognizes the immense potential of the food processing sector in driving rural industrialization, entrepreneurship, export competitiveness, and economic development. Through policy advocacy, investment facilitation, industry partnerships, startup promotion, technology adoption, market linkages, and capacity-building initiatives, CCI India remains committed to supporting the Ministry's vision of building a globally competitive food processing ecosystem.

This Knowledge Paper provides comprehensive insights into the Ministry's strategic priorities, flagship schemes, policy initiatives, investment opportunities, emerging technologies, and collaborative pathways that can accelerate the growth of India's food processing sector. It explores opportunities across cold chain infrastructure, food parks, value-added products, packaging technologies, food safety, exports, digital supply chains, and sustainable processing solutions.

The publication is intended to serve as a valuable resource for policymakers, food processors, investors, entrepreneurs, farmers' organizations, research institutions, financial organizations, startups, and development agencies seeking to contribute to India's food economy. Through stronger collaboration and informed decision-making, it aims to encourage innovation, attract investments, generate employment, and strengthen India's position in global food markets.

As India advances towards becoming a leading global food economy, integrated efforts between government, industry, and agricultural stakeholders will remain essential. CCI India looks forward to partnering with the Ministry of Food Processing Industries in promoting innovation-led, sustainable, and inclusive sectoral growth.

Munindra Kumar
Director General
CCI India

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Preface

India's food processing sector stands at a defining inflection point. As the nation aspires toward Viksit Bharat 2047, few sectors encapsulate the breadth of that ambition as compellingly as food processing an industry that simultaneously addresses farmer income, nutritional security, export competitiveness, employment generation, and rural industrialisation. The Ministry of Food Processing Industries (MoFPI), Government of India, serves as the apex institutional catalyst for this transformation, guiding policy, enabling infrastructure, attracting investment, and fostering innovation across one of the world's largest and most complex agri-food value chains.

India is the world's second-largest food producer, yet less than 10 percent of its agricultural output is processed, compared to 65–80 percent in advanced economies. This structural gap vast in scale, urgent in consequence represents not merely a challenge but one of the most significant developmental opportunities of the 21st century. The food processing sector has the unique potential to bridge India's farm-to-market divide, reduce post-harvest losses (estimated at INR 1.53 lakh crore annually), create 9 million additional jobs by 2024, and position India as a global food manufacturing hub.

This Knowledge Paper has been prepared by the Chamber of Commerce and Industry of India (CCI India) as a strategic intelligence document to define, frame, and operationalise the collaboration opportunity between CCI India and the Ministry of Food Processing Industries. The paper draws on official ministry data, NITI Aayog reports, World Bank assessments, industry research, and global benchmarking to provide an analytically rigorous, policy-grounded, and action-oriented perspective on the sector's current landscape, strategic imperatives, and future trajectory.

CCI India's vision in engaging with MoFPI is not transactional but transformational. As India's preeminent multi-sectoral industry body, CCI India positions itself as a strategic implementation partner, capable of bridging the critical distance between policy intent and ground-level execution mobilising industry networks, investment capital, startup ecosystems, knowledge resources, and institutional partnerships in service of national food processing goals. CCI India's engagement model is founded on four pillars: policy facilitation, investment promotion, ecosystem building, and capacity development.

This document is intended for Union Ministers, Secretaries to the Government of India, NITI Aayog, senior bureaucrats, industry leaders, investors, development finance institutions, and international partners. It is designed not merely to inform, but to catalyse concrete institutional partnerships that generate lasting economic, social, and developmental impact.

Chamber of Commerce and Industry (CCI India)

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About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

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SECTION 1: Introduction to the Ministry of Food Processing Industries

1.1 Ministry Mandate & Constitutional Relevance

The Ministry of Food Processing Industries (MoFPI) was established in 1988 as a standalone ministry of the Government of India, carved out from the Ministry of Agriculture to give dedicated institutional focus to the processing, preservation, and value addition of agricultural produce. Its constitutional grounding lies in the Union and Concurrent Lists of the Seventh Schedule, particularly entries related to industries, trade and commerce, and agriculture areas where the Centre exercises legislative competence and policy leadership.

The Ministry's mandate encompasses the formulation and administration of policies, laws, and programmes for the food processing sector, encompassing fruits and vegetables, meat, poultry, dairy, fish, grain milling, consumer food products, packaged foods, alcoholic beverages (excluding potable alcohol under state purview), and food safety infrastructure. MoFPI plays a pivotal coordinating role among multiple ministries Agriculture, Commerce, Health, MSME, and Railways ensuring that food processing development is embedded within the broader agrarian and industrial policy architecture of the nation.

1.2 Governance Role & Institutional Position

MoFPI functions as the nodal ministry for coordinating private investment in food processing, facilitating Public-Private Partnerships (PPPs), managing mega food park infrastructure, and institutionalising cold chain development across the country. It operates through direct scheme implementation, grant-in-aid mechanisms, and autonomous institutional frameworks, maintaining a lean but strategically significant departmental structure that leverages both central and state government machinery.

The Ministry's governance role has expanded substantially in the post-2014 reform era, as food processing was identified as a strategic sector for rural employment, farmer income doubling, and export diversification. Flagship national programmes including the Pradhan Mantri Kisan Sampada Yojana (PMKSY) and Production-Linked Incentive (PLI) Scheme for Food Processing Industries exemplify this elevated policy priority and the significant capital allocations committed by the Government of India.

1.3 National Significance

The food processing industry in India contributes approximately 8.3 percent of Gross Value Added (GVA) in manufacturing, 13 percent of India's total food exports, and is among the top 5 sectors in terms of investment and employment generation. With India projected to become a USD 5 trillion economy by 2027 and a USD 10 trillion economy by 2035, the food processing sector's role in anchoring rural prosperity, expanding the formal economy, and boosting export earnings makes it a central pillar of the national development agenda. MoFPI's institutional mandate, therefore, carries far-reaching implications not merely for the food industry, but for India's overall economic transformation.

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SECTION 2: Historical Timeline of the Ministry

2.1 Institutional Evolution & Policy Transformation

The Ministry of Food Processing Industries has undergone significant institutional, policy, and programmatic evolution since its establishment, reflecting India's shifting development priorities and the growing recognition of food processing as a strategic economic sector.

Year	Milestone / Reform	Strategic Significance
1988	Ministry of Food Processing Industries established	Separated from Ministry of Agriculture; first dedicated institutional focus on food value addition
1991	Economic liberalisation; food sector partially opened to FDI	Enabled private investment and technology transfer; initiated shift from state-led to market-driven growth
1999	National Horticulture Board strengthened under MoFPI	Institutionalised policy support for high-value horticultural processing and cold storage infrastructure
2004	Vision 2015 released for food processing sector	Set first systematic targets for processing level, investment, and employment generation in food sector
2007	Mega Food Park Scheme launched	Infrastructure-led approach to cluster development; created processing zones with shared utilities and connectivity
2011	National Mission on Food Processing (NMFP) launched	Decentralised scheme implementation through state governments; expanded geographic footprint of ministry programmes
2014	Focus on post-harvest infrastructure and cold chain expansion	Post-2014 reform agenda identified food processing as key to doubling farmer income and reducing post-harvest losses

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